

Urban Policies to Combat Climate Change: Assessing the Impact of Congestion Pricing and Low-Emission Zones using Machine Learning Techniques

Ferdinand Loser*

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Course: *Machine Learning in Econometrics*

Supervisor: Prof. Daniel Wilhelm

Ludwig-Maximilian University of Munich, M. Sc. Economics Program

Executive Summary

Abstract content goes here. This section should provide a concise summary of the research question, methodology, key findings, and implications of the study. It should be clear and informative, allowing readers to quickly understand the purpose and results of the paper.

*Ludwig-Maximilian University of Munich, ferdinand.loser@campus.lmu.de
Replication files are available in the [GitHub repository](#) for this project.

Table 1: Cross-fitted RMSE for predicting Nuisance Parameters

Model	OLS - Basic	L1 (Lasso / Logit L1)	L2 (Ridge / Logit L2)	Elastic Net
RMSE Y (Outcome)	0.5539	0.5250	0.5500	0.5250
RMSE D (CP)	0.3470	0.3058	0.3077	0.3067
RMSE D (LEZ)	0.3315	0.2822	0.2826	0.2846
RMSE D (CP $\times$ LEZ)	0.3009	0.2522	0.2563	0.2541

1 Introduction

2 Empirical Strategy and Identification

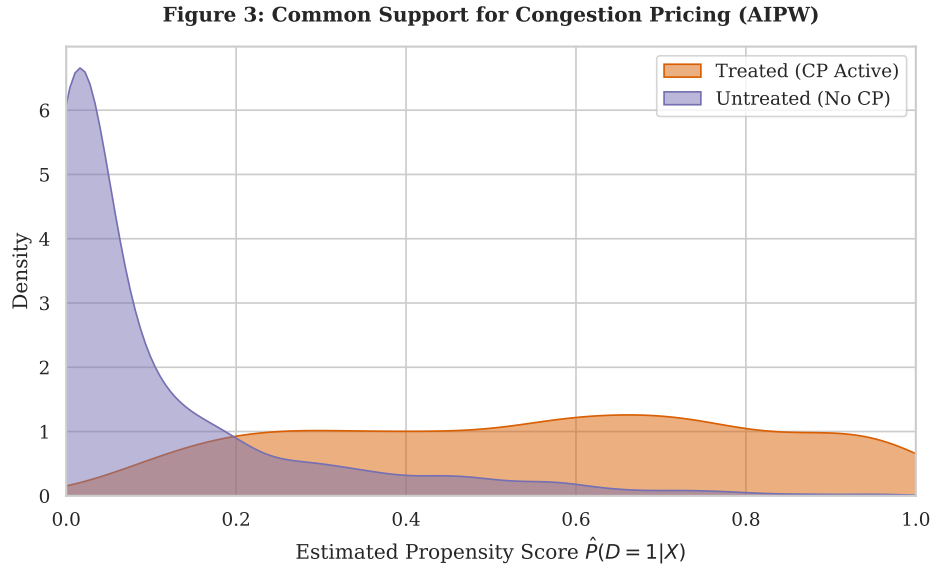


Figure 1: Common Support for Congestion Pricing (AIPW)

Table 2: Double Machine Learning Estimates of Urban Climate Policies (Categorical Regime)

Policy	(1) OLS Baseline	(2) AIPW (Lasso)	(3) Causal Forest
Panel A: Global Average Treatment Effect (ATE)			
Congestion Pricing (CP)	–	–0.2500*** ($p = 0.000$)	–0.2975*** ($p = 0.000$)
Low Emission Zone (LEZ)	–	–0.0877*** ($p = 0.004$)	–0.1071* ($p = 0.073$)
Synergy (CP $\times$ LEZ)	–	–1.2142*** ($p = 0.000$)	–0.8608*** ($p = 0.000$)
Panel B: Average Treatment Effect on the Treated (ATT)			
Congestion Pricing (CP)	–	–0.2872*** ($p = 0.001$)	–0.3296*** ($p = 0.000$)
Low Emission Zone (LEZ)	–	–0.1138*** ($p = 0.000$)	–0.1278* ($p = 0.066$)
Synergy (CP $\times$ LEZ)	–	–1.4362*** ($p = 0.000$)	–1.2083*** ($p = 0.000$)
Panel C: Group ATT (Heterogeneity by City Type)			
<i>Cluster 1: Dense Metropolis</i>			
Congestion Pricing (CP)	–	–0.3561*** ($p = 0.009$)	–0.3889*** ($p = 0.001$)
Low Emission Zone (LEZ)	–	–0.1929*** ($p = 0.000$)	–0.1905* ($p = 0.077$)
Synergy (CP $\times$ LEZ)	–	–1.6163*** ($p = 0.000$)	–1.4900*** ($p = 0.000$)
<i>Cluster 0: Sprawling Cities</i>			
Congestion Pricing (CP)	–	–0.1828*** ($p = 0.003$)	–0.2396*** ($p = 0.000$)
Low Emission Zone (LEZ)	–	–0.0210 ($p = 0.625$)	–0.0542 ($p = 0.420$)
Synergy (CP $\times$ LEZ)	–	–0.9593*** ($p = 0.000$)	–0.4619** ($p = 0.040$)

3 Proposed Estimator

4 Theoretical Properties

5 Data Preparation

6 Results

6.1 Nuisance Parameter Evaluation

6.2 Main Causal Estimates

Notes: p -values in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. 'Failed' estimation bounds denote overlap violations.

6.3 Spatial Heterogeneity

7 Sensitivity Analysis

Notes: p -values in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

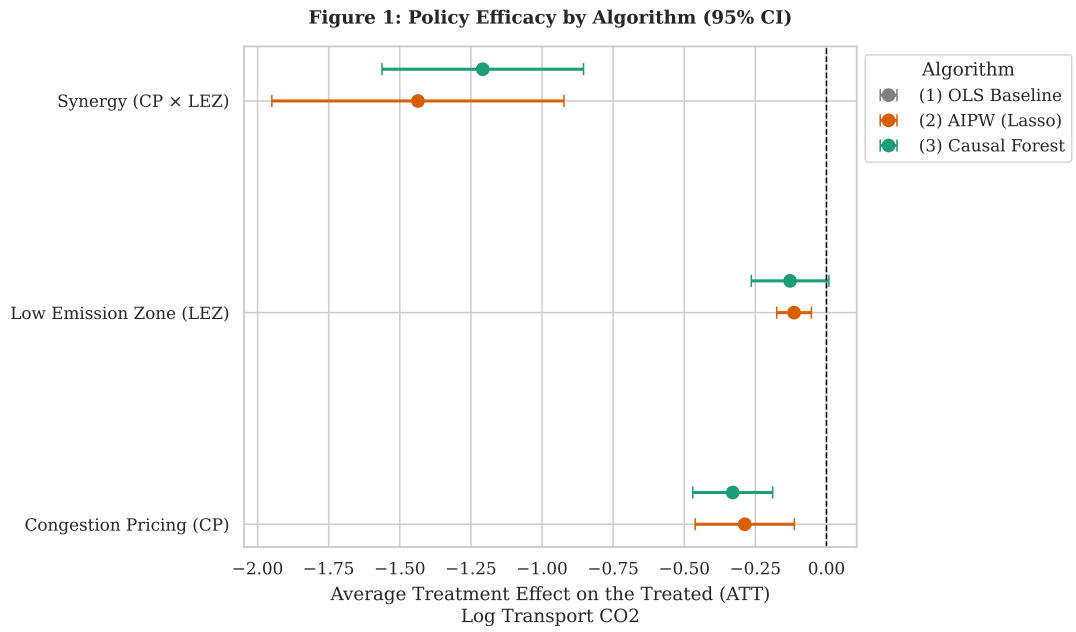


Figure 2: Policy Efficacy by Algorithm (95% CI)

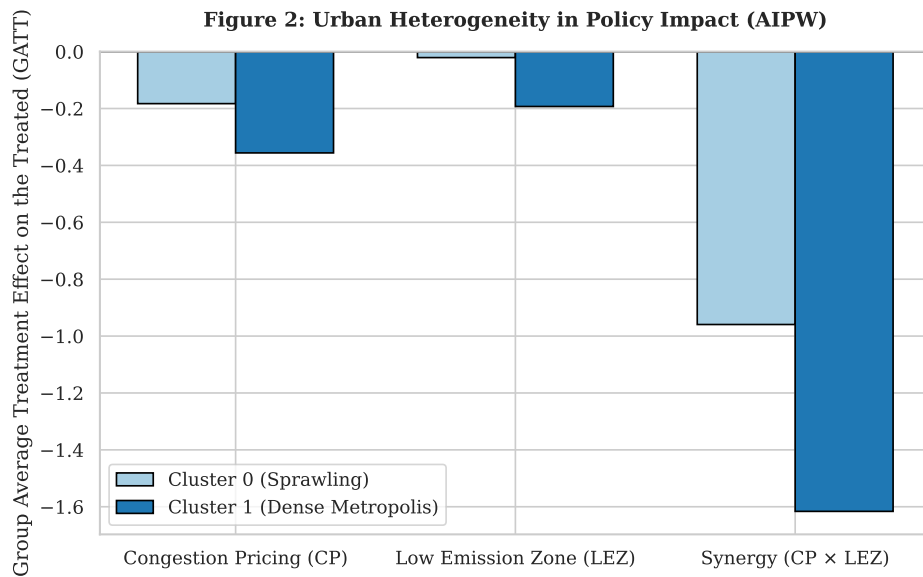


Figure 3: Urban Heterogeneity in Policy Impact (AIPW)

Table 3: Falsification Tests: Estimated Effects on Placebo Outcomes (Global ATT)

Model	AIPW (Lasso)		
	Congestion Pricing (CP)	Low Emission Zone (LEZ)	Synergy (CP $\times$ LEZ)
Policy			
Decoy Outcome			
Library Count	-0.2060^{***} ($p = 0.000$)	0.0348 ($p = 0.360$)	-0.0142 ($p = 0.705$)
Streetlight Density	4.3843^{***} ($p = 0.001$)	-3.2133^{***} ($p = 0.000$)	-1.5590^* ($p = 0.08$)
Fountain Count	-0.2088 ($p = 0.176$)	0.6461^{***} ($p = 0.000$)	0.3165^{**} ($p = 0.014$)
Bench Count (per cap)	0.1338 ($p = 0.299$)	-0.5187^{***} ($p = 0.000$)	-0.5976^{***} ($p = 0.00$)
Flagpole Count	-0.2321^* ($p = 0.075$)	-0.3132^{***} ($p = 0.006$)	-0.1669 ($p = 0.176$)
Sister City Count	0.4016^{***} ($p = 0.002$)	0.4540^{***} ($p = 0.000$)	0.6058^{***} ($p = 0.00$)

8 Interpretation and Discussion

Appendix

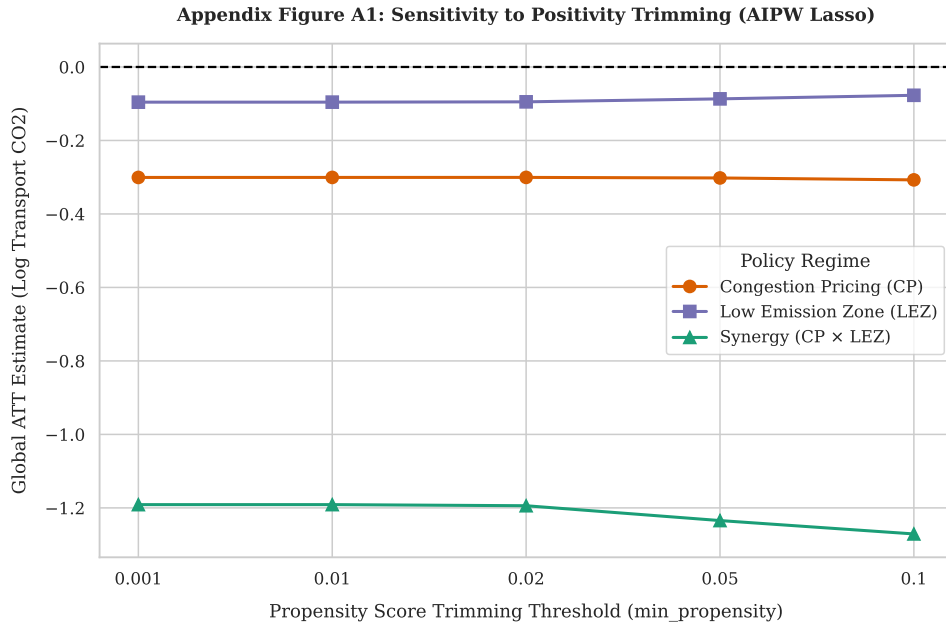


Figure 4: Sensitivity to Positivity Trimming

Declaration of Authorship

I confirm that this report is based on my own work. In preparing this report, I have not received any help from another human nor have I discussed any aspects of the empirical project with others.

Ferdinand Loser